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To: Edward Pennington (Chief Executive); Karen Mensah (HR Director), Wexford Holdings Limited

From: Sarah Whitfield (Partner); Tom Gallagher (Associate), Whitfield Carter LLP

Date: 9 October 2025

Matter: WC-00106 — Hale / Wexford Holdings (Employment)

Re: Merits and settlement strategy — unfair dismissal and age discrimination

1. Executive summary

You have asked us to advise on the Company's exposure in respect of potential claims by Mr Martin Hale, the Group's Chief Operating Officer, arising from the reorganisation of the operations function and the proposed termination of his employment, and on the strategy for resolving the matter.

In summary, we assess the Company's overall litigation risk as moderate. The unfair dismissal claim is defensible provided the reorganisation is properly evidenced and a fair procedure is followed and documented. The age discrimination claim is more finely balanced: the reported "fresh generation of leadership" remark, if proved, is capable of shifting the burden of proof to the Company under section 136 of the Equality Act 2010, and the discrimination claim is uncapped. We recommend pursuing a negotiated exit in parallel with preparing a robust defence, with an opening settlement offer pitched below our assessed settlement value and headroom to move. Our assessed settlement range is set out in section 6.

2. The facts as we understand them

Mr Hale has been employed since 1 September 2014, latterly as Chief Operating Officer, on a current basic salary of £185,000 per annum, with a six-month notice entitlement, a discretionary bonus opportunity of up to 40% of salary, and an 8% employer pension contribution. His appraisals have been consistently strong, most recently rated "exceeds expectations" in February 2025.

Following the appointment of the new Group CEO in March 2025, Mr Hale was removed from the Operations Committee (2 July 2025), three of his direct reports were reassigned (21 August 2025), and he was not invited to the September strategy offsite. He has raised a formal grievance dated 12 September 2025 alleging that he is being managed out of the business and that his age (he is 58) is a factor, relying in particular on a remark on 28 August 2025 that the Board wanted "a fresh generation of leadership".

The Board approved a strategic review of the Group's operating model in June 2025. The Company's position is that the operations function is being restructured for genuine business reasons and that Mr Hale's role, in its existing form, is no longer required.

3. Unfair dismissal

Mr Hale has well over two years' continuous service and is entitled to bring an ordinary unfair dismissal claim. The Company will need to establish a potentially fair reason for dismissal within section 98 of the Employment Rights Act 1996 — here redundancy (a diminished requirement for employees to carry out work of a particular kind) and/or some other substantial reason (a business reorganisation). On the documents we have seen, a genuine reorganisation is arguable, but the Tribunal will scrutinise whether the reorganisation is real or a pretext.

The greater risk is procedural. To resist a finding of unfair dismissal the Company must show a fair process: genuine consultation, a fair basis for selection (or for concluding the role is redundant), consideration of suitable alternative employment, and a right of appeal. We are concerned that, as matters stand, the removal of Mr Hale's responsibilities preceded any formal consultation, which a Tribunal may view as indicative of a predetermined outcome. We strongly advise that the Company now run a proper consultation and grievance process and document each step.

If the dismissal is found unfair, the compensatory award is capped at the lower of 52 weeks' gross pay or the statutory maximum (currently £115,115), plus a basic award calculated by reference to age and length of service. The Tribunal may reduce compensation for contributory conduct (not obviously in issue here) or under Polkey principles if it concludes that a fair process would or might have led to the same outcome.

4. Age discrimination

The age discrimination claim is, in our view, the more significant exposure. Direct age discrimination under sections 13 and 39 of the Equality Act 2010 is established if Mr Hale can show that he was treated less favourably because of age. Unlike unfair dismissal, there is no qualifying period, no statutory cap on compensation, and an award for injury to feelings.

The "fresh generation of leadership" remark is the centre of gravity of the claim. If Mr Hale proves that the remark was made (and by whom), it is capable of being a fact from which, in the absence of an adequate explanation, a Tribunal could conclude that age was a factor — engaging the burden-shifting provision in section 136. The burden would then fall on the Company to prove that age played no part in the decision. The Company should identify, now, the decision-makers and the contemporaneous, age-neutral business rationale for each step, and be prepared to call that evidence.

On quantum, in addition to loss of earnings (which overlaps with the unfair dismissal measure but is uncapped), a successful claimant would recover an award for injury to feelings on the Vento bands. On these facts a middle-band award in the region of £20,000 is a realistic central estimate, with a higher figure possible if the Tribunal finds a sustained campaign or aggravating features. Interest runs on the injury-to-feelings award and on past losses.

5. Quantum and exposure

Mr Hale's adviser has served a schedule of loss totalling a little over £210,000, comprising a basic award, loss of statutory rights, past and future loss of earnings (net), loss of pension contributions, injury to feelings of £20,000 and interest. We regard the future-loss period claimed (nine months) as towards the higher end but not unreasonable for a senior executive in a specialist operations role.

Our central assessment of the Company's realistic exposure, weighting the prospects of the discrimination claim succeeding and allowing for a Polkey reduction on the unfair dismissal element, is in the region of £150,000–£200,000 on a contested basis, before irrecoverable legal costs (Tribunal costs awards being the exception rather than the rule). Defence costs to a final hearing should be budgeted at £90,000–£130,000 plus VAT and counsel's fees.

6. Settlement strategy and recommended range

Weighing the merits, the uncapped discrimination exposure, the reputational sensitivity of an age-discrimination claim against a long-serving executive, and the costs of a contested hearing, we recommend seeking a negotiated exit under a settlement agreement. We suggest opening at around £100,000 ex gratia (in addition to contractual notice and accrued holiday), with authority to move to a total ex gratia figure of up to around £115,000, together with the usual ancillary terms (agreed reference, agreed announcement, mutual confidentiality and non-derogation, a modest legal-fees contribution and, if helpful to secure agreement, outplacement support).

An ex gratia payment of this order, taken with the £30,000 tax-free element under sections 401–403 ITEPA 2003, represents a substantial discount to the Company's assessed contested exposure and removes the uncapped discrimination risk and the management time of a hearing. We would present the offer on a without prejudice and subject to contract basis and reserve the Company's position fully on the merits.

7. Recommended next steps

We recommend that the Company: (a) complete a fair consultation and grievance process and document it; (b) preserve all relevant documents and identify the decision-makers and the business rationale for each step affecting Mr Hale; (c) authorise an opening without prejudice offer in the terms in section 6; and (d) prepare a robust ET3 in parallel so that the Company is ready to defend the claim if settlement is not achieved. We will prepare a draft without prejudice letter and settlement agreement for your approval, and a draft response to the grievance.

This note is provided for the Company in connection with this matter and is subject to legal professional privilege. Please do not forward it outside the group of recipients above without first speaking to us.

Sarah Whitfield Partner, Employment

Tom Gallagher Associate, Employment

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